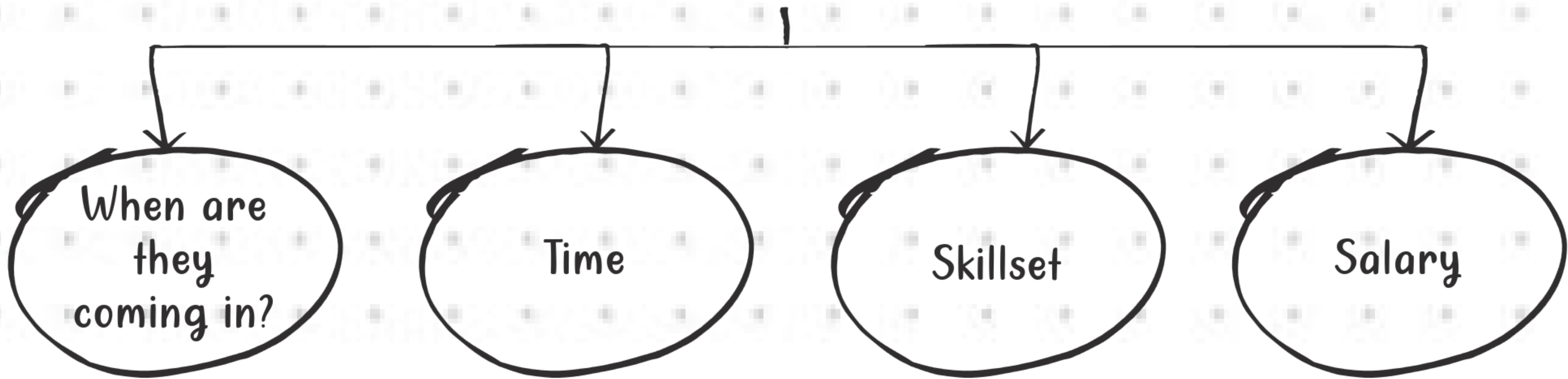


How can you decide on equity splits between you and your co-founders?

Before determining equity splits, assess how much risk each co-founder is willing to take. This helps in structuring a fair distribution.

How to Split Equity Depends on



Below are the factors you can consider while deciding on the equity split.

1. When are they coming in?

The stage at which a co-founder joins significantly impacts their risk level, which should be reflected in their equity share.

For example, a co-founder joining after the MVP stage takes on less risk compared to the one who initiated the startup. In such cases, it's reasonable to allocate them a lower equity stake. The earlier someone joins, the higher the risk they take—thus, they should receive a proportionally higher share of equity.

Equity distribution should align with the level of risk and contribution each co-founder undertakes. More risk-taking justifies a larger equity allocation, while lower risk-taking warrants a smaller share.

When are they coming in?

